

Table 30.2 General Statistics

Description	Down Breakout
Number found	1,114
Reversal (R), continuation (C) occurrence	100% R
Average decline	−15%
Standard & Poor's 500 change	−4%
Days to ultimate low	51
How many change trend?	28%

Reversal/continuation performance. Since we are dealing with tops and the breakout is downward, all patterns act as reversals of the upward price trend by definition.

Average decline. The average decline measures from the breakout to the ultimate low, which is the lowest low before price climbs more than 20% or closes above the highest peak in the double top.

Standard & Poor's 500 change. Despite including only bull market samples and using the dates of the double top's breakout to ultimate low, the S&P dropped 4%. That decline helped suck price lower. Think of a rising tide lifting all boats. No, that's not right. A receding tide strands fish, so that doesn't sound right, either. I'm sure you can figure out a suitable metaphor.

Days to ultimate low. In other chapters, I found that price drops twice as fast as it rises. So this pattern reaches the ultimate low in about 7 weeks, covering an average drop of 15%. What that means is you can make more money shorting in a quicker period than going long and waiting for price to rise. Of course, it also means you can *lose* money faster.

How many change trend? For *upward* breakouts (from bullish patterns, like double bottoms), I like to see more than half of patterns clear a 20% rise. For downward breakouts (like you see from Adam & Adam double tops), I don't have a good sense of what's a decent number.

If you're going to short a stock showing a bearish chart pattern, then obviously you'll want to see a monster number on this item. It's a tally of how many patterns see price drop more than 20%.